Could Diesel Hit $6? The Strait of Hormuz Problem Is Back

Podcast: Know your risk

AI Executive Summary

1. Core Thesis The episode argues that despite significant geopolitical volatility (specifically regarding US-Iran tensions and the Strait of Hormuz) and rising macroeconomic costs of capital, investors should maintain long-term conviction in specific asset classes like precious metals and equities during market pullbacks. Simultaneously, hosts address a tightening economy characterized by negative real incomes for consumers and high borrowing costs, advocating for alternative real estate strategies (like manufactured housing) and highlighting the persistent demand for work ethic in the labor market as counterbalance to current economic headwinds.

2. Key Arguments & Data

3. **Market Performance:** S&P 500 down 0.7%; Equal Weight small caps and Q's are facing a ~5% drawdown; Mac7 indices were volatile (Mac7 -0.74%). XUS declined due to a quarter of a percent USD rise to 99.65.
4. **Yields & Rates:** Two-year yields hit a new high (+5 basis points); 10-year yield at a new high (~4.8%); 30-year yield debated between 4.27% and 5.27%, noted as rising but not yet breaking the highest high.
5. **Geopolitical Conflict:** US-Iran tensions shifted from "economic war/squeeze" rhetoric to kinetic reality (ship-to-ship transfer disruption). A source suggests Dan Cain was instrumental in convincing Trump to allow Strait-of-Hormuz openness, contrasting with Vance and Hegseth. The conflict is described as tactical ("hit them, we hit them") rather than strategic, eroding US credibility.
6. **Energy Inflation:** Expectation of 6% diesel price hike before October/election; LNG pipelines are insufficient to replace Strait capacity for refined products (plastics/fertilizers); oil up ~5-6% due to conflict risks.
7. **Economic Conditions:** Consumer pulling back due to real income squeeze; Cost of capital rising significantly for AI, government, and

mortgage sectors; Potential economic pause indicated by downward used goods prices (e.g., boats).

8. **Investment Philosophy:** "The perfect time to buy will feel like the exact opposite"; Volatility is the price paid for returns. Conviction in gold miners and precious metals is maintained despite short-term pain due to central bank support and valuation gaps.

9. **Labor & Housing:** High demand for self-starters with strong work ethic ("hire talent as it's found, not as it's needed"); Manufactured housing identified as a viable inflation hedge and real estate alternative for those unable to afford site-built homes due to debt/capital constraints.

10. Actionable Takeaways

11. **Buy the Dip:** Investors should view market volatility as an opportunity to accumulate quality positions (e.g., gold miners, US/International equities) rather than selling during sell-offs, provided long-term fundamentals have not changed.
12. **Monitor Capital Costs:** Focus attention on sectors where rising borrowing costs and interest rates are negatively impacting profitability due to high debt service ratios.
13. **Diversify Real Estate Strategy:** Consider manufactured housing as a strategic option for real estate allocation to mitigate inflation risk, potentially building equity faster than traditional mortgage paths.
14. **Assess Labor Market:** Recognize that while entry-level opportunities face challenges, individuals with strong self-starting skills will find high demand and can leverage this to secure income-generating positions.

Full Transcript

You might see 6 diesel before October, or at least before the election. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. It is only intended to provide education about the financial industry. To determine which investments may be appropriate for you, consult your financial advisor prior to investing. Any past performance discussed during this program is no guarantee of future results. Any indices referenced for comparison are unmanaged and cannot be invested into directly. Any references to performance of securities are thought to be materially accurate and actual performance may differ. As always, please remember investing involves a risk and possible loss of principal capital. Please seek advice from a licensed professional.

And we are back with another edition of the daily dots and I am joined as always by the brain trust himself. Mr. Chase Taylor, not a very interesting day. So we'll just get right into the rundown. No, obviously the rundown very interesting. Yeah. Yeah. Yeah. Let's go through the rundown real quick. And then we will get into, um, like I said, we really got to come up with a name with this. It's like it should have like a soap opera name, you know, just the days of our lives, right? The straights of our lives, something like something along those lines, but let's, um, I mean, it just like sand through the hour every day. Uh-huh. There it is. There you go. S and P was down 0.7, uh, a little worse for equal weight. The cues were down 1.27, uh, 1.14 for small caps and just I don't think people realize it, but the Q's and small caps are both in about a 5% drawdown. So S&P's only down like two, two and change, but not great for Q's and smalls. All world XUS down 0.7. And that wasn't part because the dollar was up another quarter of a percent. You're at 99.65. They're kind of up a decent amount the last week. Inside Mac, Mac 7 was down 0.74, but it was kind of all over the place on the inside. Tesla down 3%. I actually talked about Tesla hitting a kind of bad level on the show yesterday. So far that's working. Apple up 2.6 on the day. The rest was close enough to not mattering. Yields up another five on the two year. That's a new high on the two year. Up another four on the 10 year,

up two on the 30. So another new high on the 10 year, you're basically at 4.8%.

Where, where did we finish? What was the number on the 30? Where'd we finish? The 30 is at 4.27. Uh, so not a new high there yet. You've taken. Yeah. The 30 is at 5.27. Okay. You said four. Okay. Yeah. So not a new high yet on the 30, but you have taken out the, the buyback best sent gains though. Um, oil was up five and change close to six and we're recording a little late today for the scoring at home. So. the evening session has already started. You already have another 0.7 there. So you're at just under 91 for WTI and you're at 95 and change on Brent's gold. I'm in the afternoon session on gold. I can't remember what it was. It was pretty bad, but gold miners are down 3.9. After noon set or the evening session on gold, you're down half percent. Silver's down another one to change. Platinum, palladium, also rough.

Copper, bad, you name it, right? So, uh, spot, spot VIX was up almost 10% regular VIX was up like two or three, uh, down a smidge here in the, in the evening session. Uh, AI, not surprisingly, wasn't that great. Uh, DRAM was down to three and change, uh, chips were down. Apple was up. So yeah, I think, exactly. Um, although for once you're kind of getting the unwind on the, uh, software trade, it actually had a pretty, pretty bad day. Um, so yeah, there you go. Yeah. Um, yeah, pretty, pretty ugly day. I will say this though, pretty interesting timing on it. Um, you know, we were joking the other day about my timing, but talking about how I wouldn't advise picking up miners here, waiting for a pullback. If you miss that opportunity, it looks like you might be getting another chance here. Um, starting to get the pullback. And if you get that pullback and you don't pull the trigger because you were too afraid and thought they were going to go lower, you're not doing this right.

Yeah, it's a simple thing and everybody says it. Everybody says it in investing. And it's one of those mantras that I repeat to myself all the time. The perfect time to buy will feel like the exact opposite, right? Like the perfect time to buy it will feel like the exact opposite. And that's if you're crying, you should be buying for yelling, you should be selling. Yes, sir. And it never doesn't seem to work that way, does it? And quite honestly, if it didn't work that way, you wouldn't get the returns that you get in the

markets on a historical basis, right? Like it's trying to explain that to new investors or even our clients of like, hey guys, volatility to a degree, right? Our job is professional money managers, try to smooth that out. But volatility is the price you pay for those returns. And you just, you know, It's funnier because the older you get, the more and more these lessons get cemented into your mind and the more and more you want to explain to people or you just so necessary for people to understand the difference between volatility and losing money. You know, it's just I see more mistakes and more stupid investment moves based on the misunderstanding of those two things than anything else.

If there was no volatility, you wouldn't have any opportunities to buy cheap. And things bouncing around in price are far different than things losing value. It just is. Now, is it hard to figure out which is which sometimes? Yes. That can be tough. But a good way to look at it, now look, if the details underneath the surface change, our opinions will too. But the reason why I look at this and I'd have to see something drastically changed to make me feel differently as it relates. And I'm using them as an example. But for instance, looking at gold miners, right? Do the reasons for gold's really good performance over the last two years changed? No. Do I see anything going on that makes me want to own gold less? No. Has the market all of a sudden woken up and realized how expensive junior gold miners or gold miners are? No. Now.

If those facts change, if I think the long-term outlook for gold is significantly different, if I don't think central banks are buying it for some reason, and if those share prices, if they do weird things to their balance sheet, they start making questionable moves or things like that, obviously that opinion can change at any moment. But that's one of the things that you try to target is when you see some market volatility and you see some potential for the markets taking a pullback or moving south, At least for me, I always want to try to target those things that I feel the most confident about and see if I'm lucky enough to get them hit and get a pullback and open up new positions. Again, if the world changes, we'll change our opinion, but I think when you look at the backdrop, I don't think the gold or precious metals trades are going anywhere. I don't think the delta between

historic valuation gaps or historic deltas between US and international valuations has changed.

Um, and so until I, until or if I think that those conditions have changed, it's going to use that volatility as a, as a way to pick up some more of the stuff we like. Exactly. I, I did a recording yesterday with our, our buddy Trevor from a mining stock daily and basically just said, like, you know, he does zoom out and think over the medium term here. Like it's kind of obvious we're going to sacrifice the dollar to save the bonds. And that playbook is precious metals and ex-US equity. Like. So whenever they get cheaper, you buy more. And then, yeah, whenever they have a ripper, you give something back like the way we did last year. But at the end of the day, that's how this is going to go down. Unless we elect Thomas Jefferson and he slashes spending and really puts it all back together. But that's probably not going to happen. So it's an easy trade. Not with that attitude at all. Medium term. It's just hard short term because When you know oils ripping and rates are ripping like those can be very ugly short-term headwinds from for some of your favorite trades like the dip when the dollar goes soaring like Everything we like goes goes down like it just it's tough but this is one of those you got to keep your eye on the prize and and You use that stuff as as your fuel to like you say like add into the ball and and Just got to give some back when you really make that new high Yeah And if anybody's wondering, this is not a new, uh, look that I'm going for this whole white strip here and white strip. This, this is a backwards hat. Isn't it? It's my guess that's bad. And two full days spent on youth football sidelines that that's what that is. Uh, I don't, when I'm coaching, I can't have a bill over. I feel like it gets in my way. You know what I mean? Said no matter how I try to start the game with the bill on straight to try to look official, it gets flipped around every time. Can't.

Yeah, I would be the same. It's constraining. You know what I mean? Yeah, it's constraining. And then I also wear sunglasses. So the sun isn't getting in my eyes from not having the bill there. And so I just forget that I've got the hat on backwards. And then I get this really cool, you know, souvenir, if you will. Yeah. We should invent a cream you can put on your skin that keeps you from getting sunburn. Your sets are smart ass. Okay, so anyway. Flipping over to events of the day. So we are, uh, I once again, I got sold on

the whole economic war and squeeze like they've never seen. Apparently that was all bluster as well. We're back to kinetic. Uh, let's, let's do a little rehash and try to figure out in another edition of straights of our lives. Yeah. And to start first quickly with the economic war part, I mean, Scott, that's it went.

really far out of his way to talk really tough. He made it sound like fire and brimstone was coming. So far, it looks like mostly what we've done is we sanctioned some UAE branches of a Egyptian bank. And now we're talking about going after some aircraft leasing companies or something. So not exactly matching the tough talk. It's more like speak loudly, carry the small stick thing. which has been a massive pattern in this conflict. Yesterday we hit a launcher that was going to be apparently used to try and throw some mines into the straight. They retaliated. So we said, well, we're going to hit them hard. We did. And then we said, you guys better not retaliate. Or we get back to the crazy language of like annihilation and nothing left of the country and all that stuff. But they retaliated. Although so far it doesn't look like.

There's no big reporting of any significant damage, although we know there were impacts from missiles hitting the ground in Jordan. The early returns didn't hit anything important. Hopefully that's true. So we'll see where it goes from here. But we are very kinetic again. And I think the most important thing for this whole thing is we had just started talking about it, like the ship-to-ship transfer thing, starting to get a real amount out. you know, instead of this like three, four, five million barrels a day, it just started creeping up to like more like seven, which you combine that with the Red Sea, you're kind of back to like two thirds of normal, which is not nothing. Like that's not bad. That buys you a lot of time. No, but it, but it looks like Rand finally did something about that and started to take out the ship, the ship transfer game. And that, I think that's a big part of the reason this is getting ugly again, is we realize if they can stop that, we got a problem. Yeah. No, I was just going to say that again, there's so much smoke.

it is very difficult, you know, very difficult environment to try to pull signal out of, you know, and for risk of repeating myself for the hundredth time,

we certainly don't have any inside track. But if I'm looking from the outside, especially in light of Besson's and the administration's comments last week, and then looking at what's happening today, my belief is The only thing that really makes sense to me that explains all of a sudden in kinetic again is the fact that Iran hit something or pinched their ability for ship to ship transfers That's that was the first thing that went through my mind when I saw hostilities it resumed it because if they were if they were getting that oil out Yeah, there's no right. There's no there's no point to hit them You know, so I would I based on the information we have I feel like it'd be foolish not to assume that that's exactly what took place Yeah, it felt like we had hit an equilibrium or both sides were cool with what was going on like get a little bit out but we're not shooting at each other like I think whenever we pressed the advantage up to like seven For some reason it seemed like that was too much for them and they're like well hold on but I've also heard some people say like They were struggling to actually see that stuff because it's like those small ships and they run them behind some islands to where it kind of Obfuscates that view a little bit The Rainies basically, the Rainies made it sound like they found a new way to like observe that stuff better or whatever so they could hit it. But I also think they were just letting it through. There was like a specific set of ships that they just never targeted and it was like, this is weird. One of those got hit yesterday. They hit two VLCCs. The Saudis started getting aggressive using the straight instead of the red sea because they can't really use the red sea. At least the southern straight there.

But then earlier today, like all these Saudi ships changed their flagged to Liberia changed the name of the ship and everything on AIS like That tells me they you know a lot of these folks recognized that the games just changed again in the straight and if you look at yesterday as a full day Not much got out at all. So it seems like we're back to less getting out and Oil was up a bunch and I think part of that's because just we're back to shooting at each other, but I think a part of it as well is the smart money in the oil market recognizes like, ooh, like the something may have just changed in the straight where we're not getting seven anymore or maybe more like zero to zero to three or something, you know? Hey, did I tell you about what I heard? And again, I thought I mentioned it. Maybe I talked about it on one of the daily dots that I did by myself. I don't think you and I spoke about it,

but I tell you what I recently heard from again, a source that has been extraordinarily reliable, meaning I've never had them give me something that turned out to be not the case. I was told that going back about six and a half, seven months ago when this thing popped off, and I found this really interesting, that believe it or not, the two voices inside the administration that were the most adamant about not going were Vance and Hegseth.

Hex, that surprised me. Yeah, I've never heard that before. Yeah. And the one that pushed Trump over the edge that convinced Trump that they thought it could pull it out was actually Dan Cain. That's definitely the opposite of everything I've heard, yeah. I know, but it was what I heard and they've been very reliable was that Cain was the one that said, no, no, no, we can open the straight. And that from what they said, that was what Don or that's what President Trump chose to chose to listen to and he went on Cain's word that he said, no, we can get it open. So again, I don't know if that's true. I just found that very interesting, considering that Cain came out. Well, it appeared to me, Cain was leaking some stuff out early on trying to make it look like he said, don't do it. And I think the first step is Yeah, and I think Hague Seth's been the guy there's so many people in an off-handed way just thought he was Mr. You know There's been a lot of reporting that he's been pressing to go back even now and stuff. So That's definitely the first yeah, yeah, they're like none of us. None of us are there. So like we know No, no, and the funny thing is in the times is legit Yeah, and this is not a This is a source that has given me several pieces of information that are not administration friendly. So this is not a, this is not like a, it's not like my inside sources, Caroline Levitt. You know what I mean? Like somebody that's going to spin it, you know, or like an administration operative, you know what I mean? So I just, I thought that was a very, very interesting point of view. Where do you, I am, I don't know if lost is the right word, tired, fatigued, certainly. But I've kind of run out of superlatives. I don't really even know how to explain it. I don't know what the point is. I don't know what we're doing. Well, the problem is they don't either. I mean, it is just a series of tactical moves with no strategy. That's obvious. And we pivot from the economic stuff to the kinetic stuff back to the economic stuff to the kinetic stuff to, like, Trying to do a deal to like we're not gonna talk to you back back to like we're gonna do a deal We're not gonna talk like it. It just changes day by day, right? So it's all ad hoc Right and and and here's

the thing that I really struggle with is that Regardless of how it ends up playing out or regardless of you know, we're right on this or wrong on this or whatever the case may be How is just not the way we're operating this just eroding our credibility like that's That's the other thing. I mean, this just looks like a helter, skelter, chaotic, nothing. You know what I mean? I just even worse is the one pattern where it looks like there's like a strategy is, is the pattern I've been talking about of like, we hit them, they hit us. We hit them again. We say, don't hit us. They hit us. Then we say, we're going to annihilate you. And then an 11th hour, someone calls and asks us not to do it. And we're about to have a peace deal.

that playbook has literally unfolded three, four, five times. And like, it looks like we're in it again. Like, there's been multiple times I've just been on the couch being like, okay, well, here's what they're about to do. Cause it's like, this is their own little playbook and they just do it. I'm like, all right, well, Axios should be here in a second. And then Axios shows up and says, like, oh, Pakistan says, and it's like, wow, like just the same playbook over and over, like. So the one thing you can like, yeah, there's like one, there's like one North star and it's that other than that, like there's no strategy up like that. I'm sorry, but that's just, that's just clear. I think they really need to figure out what they want, how they're going to get it. And then, and then execute like, but because clearly like this whole like this is stay as long as we can and take it day by day, like it's just, that's a failed strategy. And the 10 year old price telling you that.

Yeah, I mean that and that's the that's the odd part about this whole thing as you sit there and go Okay, what does a win like or what does a win look like and I was having this conversation just a few days ago with somebody and they like listed off These things are like well a win would look like this and I go so a win would look like exactly the way things were prior to us invading Iran Right, but can they and they kind of backed away from really quick and I go. No, that's what you just said That's what you just said And I go, here's my, been my point all along. What are we doing? Right? Like that's a way, well, get the straight open and keep Iran contained and lock them down into a nuclear deal. And I'm like, uh, okay. Well, that's the way things worked seven months ago, right? Like now that's a big win for us.

All right. The, the two big talking points that have been pushed the last couple weeks.

With the economic D-day, which is just a nothing burger because we're not going to do anything to China We're just not and if you don't do anything to China like you can't you can't actually hit them economically enough to matter They're gonna don't that's like fine. We are absolutely hurting their economy dramatically, but it's not enough to make them surrender like that's dumb The other one is like yeah, like who cares like the other ones the straight won't matter in two years because they're gonna build pipelines And that, that, that one, I'll just be honest with you. That one gets under my skin like significantly. Um, because for oil, yeah, we can make some pipelines and the straight will matter less than two years, five years, whatever, but you can't build LNG pipelines. You're not going to have fertilizer pipelines or you're not going to have plastics pipelines. You're not going to, like there are so many things and you can't straight that aren't oil.

Well, it's not the only thing. And you can't move the wells. And you can't move the wells. If they're hitting infrastructure, it doesn't matter. Exactly. Even if you bypass it all and they just bomb your, your facilities. Boom, boom. There you go. Right. Yeah. Unless you can figure out how to move the oil wells, which would be a hell of a trick. Make them underground. Yeah. No, I like that's yeah. It none of it. I just keep hearing what we're trying to do this. That doesn't make, hey, I think the pipeline thing is a good idea anyway. I'm not saying that they shouldn't do that, right? Like you said, it makes the straight, it creates it less of a choke point. There's no question it will help. But we're acting as if that's a panacea, that that immediately neuters Iran. Iran, even if they had the way to divert, if Iran's goal was to shut off oil flow from the Middle East, based on everything I've seen, Even if you had 80% of daily flows from the straight currently going through another network of pipes, and if I ran's goal with their missile technology was to disrupt that flow, they could. They could. They could hit it. And virtually no LNG is getting out. You can see the price of LNG has gone through the roof, which has huge consequences. Like there's so many things that are more of the point, refined products like We're sneaking a good bit of oil out, but we're not sneaking that much refined products out, which obviously is a giant problem. You might see 6 diesel before October, or at

least before the election. That is such a massive inflationary impulse. Huge. The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ.

You know, what what if we have we seen any, I mean, this obviously kind of clouds it and I'm sure we're going to get some more economic data released later this week. But in the midst of all this, and I could be way off, this is extraordinarily anecdotal. Well, not extraordinary. I guess we've seen some kind of weaker readings on the jobs front, the employment, we've seen some some some sizable revisions on the jobs, things, and all that kind of stuff. I will tell you this, man, just from things I'm hearing, things I'm talking, I'm just, I continue to hear things that really supports the idea that the consumer's pulling back and that the consumer is really, really stretched. And that growth, now I think growth is a tricky word right now because so much of the growth is coming from, you know, a historic context. And there's Yeah, there's so many moving parts and for that reason, I think it's, hey, it's always hard to get a pulse on economic growth. You know, I have predicted two out of the word I've predicted 15 out of the last two recessions, right? This is always it's always a tough game, right? That being said, man, it does feel like the worms turning a little bit. It just it I keep hearing things. I keep seeing things.

I'm seeing prices on used goods that have been elevated for a long time starting to come down, right? Like boats and things like that. I'm just I'm just seeing a lot of things that are not conclusive, but I'm looking at them going, hmm, that is not something that you see at the beginning of an expansion or in the middle of a booming expansion, right? There's there's it seems that we're at the very least a bit of some kind of economic pause or gathering or or Maybe just to hiccup here or so. Maybe, you know, six months from now, we turn around and that's all it was as a blip. But are you, are you feeling that? Are you seeing that in any data that's come up? Or what is your take on that? You and I haven't spoken about this directly in the last few days. So I was curious what you thought. So what it brings to mind is something I talked about at our, our meeting this morning. And that

was if you, if you think about it, like AI and the government are borrowing so feverishly that they are And we have inflation, right? And globally, we have a lot of people doing a lot of fiscal, which we talked about for the last few years, like, hey, we're not used to everybody doing fiscal. This is going to end up mattering. Well, here we are. It's mattering. The point being, the cost of capital has really, really moved higher. And the rate of change on the cost of capital is suddenly ugly. And this is true if you want to sell 10, 20, 30 year bonds to fund your AI crap.

It's true. If you want to get a 30-year fixed rate mortgage, it's true. If you want to go borrow at SOFR Plus, whatever, for your small business, just all of a sudden, and if we start raising rates, obviously that part gets worse. My concern is the cost of capital is getting ugly. For regular people, real incomes are negative. Inflation is outstripping wage gains. Yeah, like the consumers getting pinched on that on the real income side, which means obviously they're going to pull back in some ways. I've been doing a deep dive on manufactured housing of all things because my assumption is because you're squeezing people to buy regular homes, eventually they're going to realize like, wait a second, I can just buy a manufactured home and it's way cheaper. Like I can actually afford that. Like sure it comes with some dumb stigma that I shouldn't pay attention to, but.

I think that if that stigma can fall off of manufactured housing, like that could be all of a sudden a growth area for no other reason than, well, I can't afford the new site built home. I can afford that one. Let's do it. So yeah, real income squeeze and the cost of capital is just ripping. So there are industries that cannot deal with the cost of capital rising the way I can. So that's getting important to start following. That'd be interesting. It kind of reminds me of something that you would expect to see Musk or Tesla launch. Right, like to do what you said right there with manufacturing housing, do a similar thing that they did to EVs. Nobody wanted an EV. It wasn't cool. Granted, I understand. Are you saying we have Tesla trailer parks coming? Possible. Possible. And you might get them quicker than self-driving taxis.

Right? I mean, we've been waiting for that for quite a long time. But, but what I'm saying, I've given this, I've given this piece of advice to several

young people who, to my knowledge, have effectively blown it off. And I think they're out of their minds. Oh, I want to live in the city. Meanwhile, I sit there and show them a piece of two or three acre land that they can get really cheap hour, hour and a half outside of the city. Right? Throw a manufactured home on it. Better yet, throw two, split it with a buddy. You own some acreage. which is going to be a better inflation hedge long term than any house you buy anyway. That's going to be the majority of the hedge anyway. And eventually you can afford to build your own house on it at a fraction of the cost. What would it take you to buy something on your own? I think that's a great idea. And if I were young people, I'd be, oh, I don't want to commute that hard. Dude, get used to it. Being young and getting your way in the world is doing a bunch of other things that other people don't want to do. That's what you got to do. Nobody wants to commute an hour. Why? Because you can't afford to live in the city.

You know and and and it's something else I will say man. I at the risk of sounding like the old man, you know yelling for people to get off the yard and You and I have had several conversations about this man. I am totally sympathetic to the conditions and the tough environment that young people face today in terms of the cost of living debt all that kind of stuff Okay, that being said they also have plus 20 minimum wage in a lot of different places around this country right? There are a lot of people as an employer that employs 20 people. I can tell you there are a lot of business out there that are still looking to hire people that can show up on time and be self starters and be driven and things like that. And, you know, again, I think some of the conditions that these kids are facing are not fair. They're garbage. The student debt situation is garbage. That being said, It's never easy to start. Maybe they're like, oh, no other generation has had a tougher get out of here. We've all had, I was sitting there comparing it to, you know, I was coming out of college with my finance degree in the middle of 2007, right? Had a job all lined up for March of 2008. Hiring freeze went on. And if anybody remembers the next three years in the finance industry at least was like a nuclear winner. Nobody'd hire you, right?

What did I do? I cleaned decks and did landscaping on the side while I was a financial advisor to make ends meet. Right? Like, you got to think outside the box. Yeah. I think, I think it was easy for the boomers and hard for most

of the other people. Like my dad, my dad, my school granted my dad had an insane work ethic, but he did go from high school to like make it bank in a, in a steel mill and like owning like a car and a home and he was like 22, like just crazy stuff. Right. Right. What you can't do. Yeah. No, no. No, no, you cannot go get a remedial job and buy two cars and live in a house and raise kids. I get all but on the other side, the competition was was higher back then. There's a lot of hardworking dudes that he had to compete with for a steel mill job. Whereas like now, if you have a really strong work ethic, I don't my opinion is not that much. There's not that much, you know, competition for a good job. If if you're willing to work hard, I'm as an employer, man. I just made a full time offer to our intern that was with us this week or this summer.

because of the quality of job he did and the fact that you sat there and went, I know that you are really hard to find. So I'm not even really sure the exact details of the job you're going to do. But I just know that people like you are hard to find, and I don't want to lose you. And that is a reflection of what you just talked about. That is a reflection of me understanding that the cupboards are pear, man. When you're talking about finding kids, that have the work ethic, that'll show up, that'll take ownership, right? That'll be there every single day, that will be self-starters. When you run into it, it doesn't even matter if you have, at least for me, it doesn't even matter if you really have a job. You're like, hey, I'll find something. I just, I know that when a job comes up that I need to fill, I know you're gonna be really hard to find. Yeah, hire talent as it's found, not as it's needed. It's actually a quote from a famous entrepreneur that like escapes me, but it's always stood out to me. So it's, you're always going to find something for an awesome person to do, like just give it time. Yeah, you know what's, you know, what's funny, man, that probably describes about 70% of our employees and not a single time has it been the wrong move. They've all ended up bringing you being one of them, right? People that brought substantially more value than the cost of employing them.

And that's been that's been by far my my favorite way to go about it. So the kids out there, look, it's not easy. And I'm not saying it is and I'm not at all diminishing the challenges that your generation has. And I've ran it on those before, right? The flip side, though, there's never an excuse, man. There's

always something that can be done. There is always another button that can be pushed. There is always earlier you can wake up and and and it's not easy. I get it. I get it try being a financial advisor and working landscape at the same time trying to raise two young babies and and You know, it's it wasn't easy It sucked. It wasn't fun. I don't look back. You know, everybody's like, oh, you missed that time in life when your kids are small Yeah, I don't miss that time It wasn't fun, right? It was it was scary. It was intimidating didn't know how it was gonna play out, but you know, it's it's It's the way, it's the way it works, man. If it was easy, everybody'd be rich and everybody'd be successful. And, um, but like, and, and like you said, man, I, and you put a big, look, there's a lot of challenges out there yet. I think it's an extraordinarily easy environment to distinguish yourself. So that to me is the silver lining. Um, but I'm done with my. The Eastern European dudes that came and tore down my entire fence and rebuilt a new one all in one day.

Like those dudes could work. Right. And like just get after it. They're making a lot of money and they deserve it because that was that was like crazy thing to watch like in real life. So yeah, if you're willing to work hard, the opportunities are still all over the place and they always will be for people that went willing to actually put in put in the work and the sacrifice. So but but if you're under if you're under the. Yeah, but if you're under the age of 40 and you say things like work life balance and quality of life in your in your interview don't expect to call back Right don't work life balance is for some point out in the distance, right when you can when you've earned that, right? They're like you hear these kids. Well, I just want to really good and I'm like you're 26 What do you do shouldn't have any work life balance? The work life balance for you should be work, just work, right? Like, you know, anyway, so do you got anything else, man? No, good to go. All right, I think I'm good too. Like I said, it's the straights of our lives just and on and on and on we go. It will be interesting those I'm not I'm not excited to say goodbye to the summer. But it does feel like it to me at least every time summer comes to an end.

I feel like you get a lot more economic insight in the first two, three weeks of September, just because kind of things are, you know, it's the doldrums at the end of summer. Just new stuff always comes to light. So I think the next

two to three weeks could be interesting. But we'll see, you know, who knows in this tape. So anyway, so for you guys following along, you can follow Chase and I on Twitter. We're both on X. I'm at KYR Radio. Chase is at Panko Macro. Get the video feed on YouTube to search Know Your Wrist podcast. You guys know the drill. Have a wonderful evening. We'll see you tomorrow. You're listening to the Know Your Wrist podcast. Download and subscribe to KnowYourWristPodcast.com.